



UPI QR Code Payment

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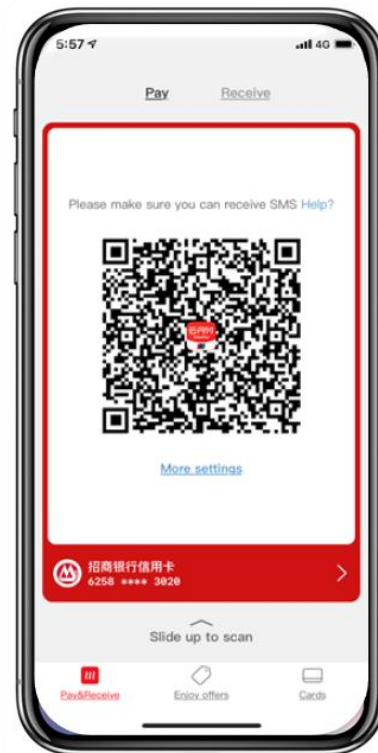
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- **What Is UPI QR Code Payment**
- **Why Is UPI QR Code Payment**
- **How To Cooperate**
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01

What Is UPI QR Code Payment

UPI QR Code Payment



UPI QR Code Merchant-Presented



1. UnionPay card-provision for first-time use (cardholder set APP PIN)



2. Cardholder scans merchant QR Code



3. Cardholder confirms transaction amount and APP CVM



4. Transaction completed with transaction notification



Thank You
You have made a payment

*1. Enter APP CVM (PIN, Finger or Face ID) for each transaction

UPI QR Code Consumer-Presented



1. UnionPay card-provision
for first-time use
(cardholder set APP PIN)



2. Generate payment
QR Code in
Consumer APP



3. Merchant scans QR
Code*



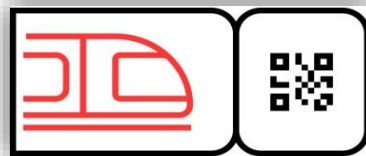
4. Transaction completed.
Merchant and
cardholder receive
notifications



Thank You
You have made a payment

- * 1. No CVM required for low-value payment;
2. APP CVM (not card PIN) is required for large value payment

UPI QR Code Payment Scenarios



02

Why is UPI QR Code Payment

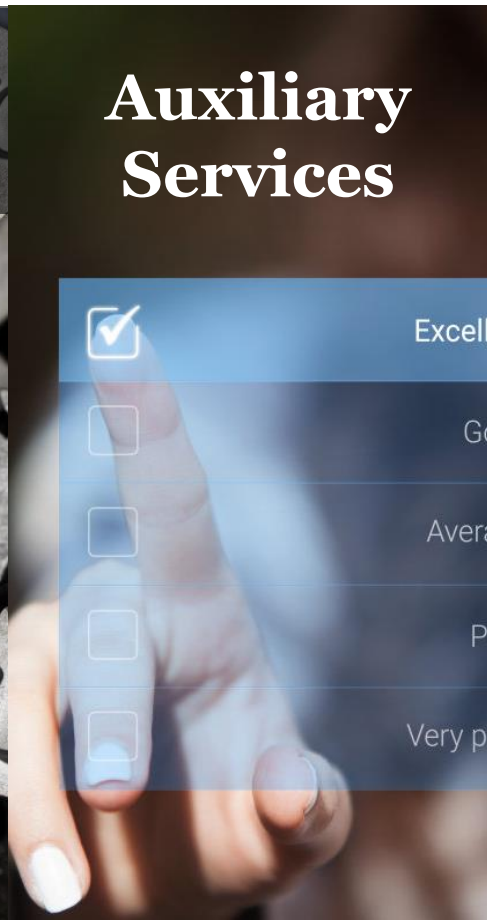
Why UPI QR Code Payment



Low Cost



Security



**Auxiliary
Services**



**Flexible
Implementation**

Low-cost Payment Solution



Require much less hardware purchases and investments

Cardholder Reliance

Works on any smart phone
with screen and camera
(Android/ iOS)



Merchant Investment

Consumer - Presented mode

- ❑ Reapply existing facilities
- ❑ Integrate QR Code reader
- ❑ Install Merchant APP
- ❑ Smart POS Terminal



Merchant- Presented mode

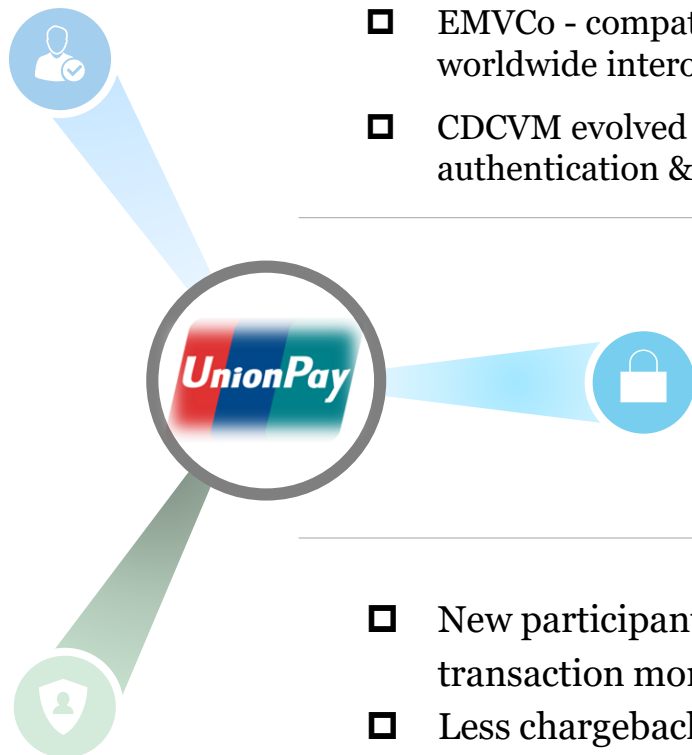
- ❑ A static QR Code
- ❑ **Dynamic QR Code**
 - ✓ printed on ticket
 - ✓ displayed on smart devices



Secure Payment Solution



Various risk-control measures & Explicit liability allocation



- ❑ EMVCo - compatible to ensure global standardization, worldwide interoperability and aggregation
 - ❑ CDCVM evolved from PIN or signature for better cardholder's authentication & verification method
-
- ❑ Enhanced security with Tokenization
 - ❑ Avoid exposure risk of card information or account confidentiality
 - ❑ Less vulnerable to web attacks (e.g. URL spoofing, or phishing)
-
- ❑ New participant of APP Provider for real-time transaction monitoring
 - ❑ Less chargeback risk to Acquirer

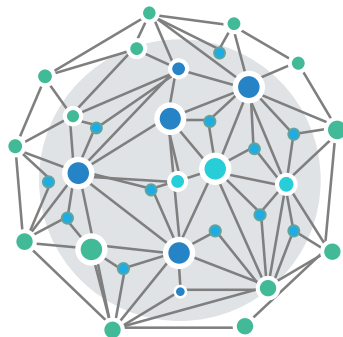
Complete Auxiliary Services



For Issuer/ Cardholder

- ❑ White-label Wallet product
- ❑ “QR Code + UPlan Coupon” in one-step payment

QRC
+
UPLAN



Merchant
Gateway
Service

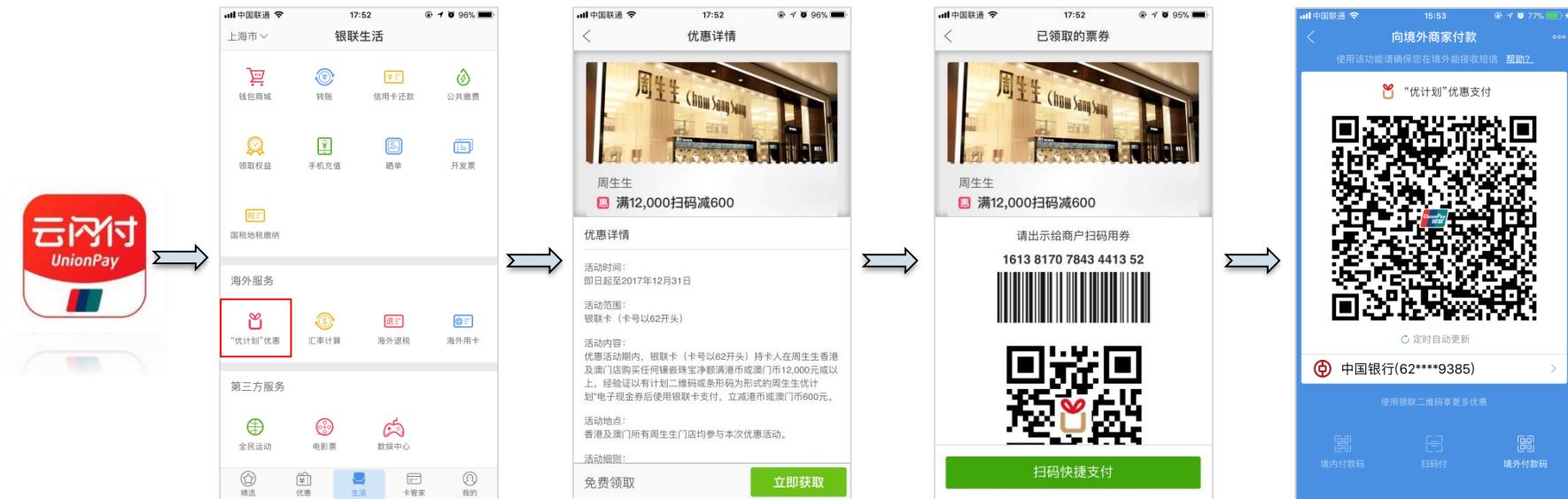
For Acquirer/ Merchant

- ❑ Reduce system modification
- ❑ Free merchant APP
- ❑ Free management platform

Services For Issuer/Cardholder



White-label solution offers one-time integration to enhance payment experiences together with promotions, loyalty programs or other value-added services



STEP 1

Open an APP that
supports UPLAN

STEP 2

Click UPLAN module

STEP 3

Claim the coupon

STEP 4

Click Pay by QR Code

STEP 5

Present payment QR Code
including discount Info.

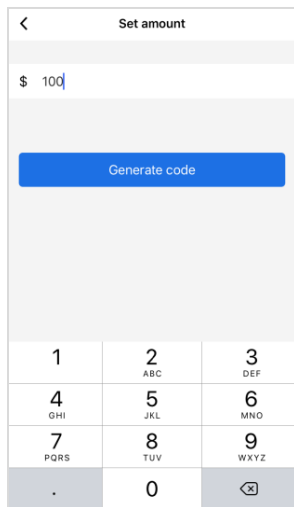
Services For Acquirer/Merchant



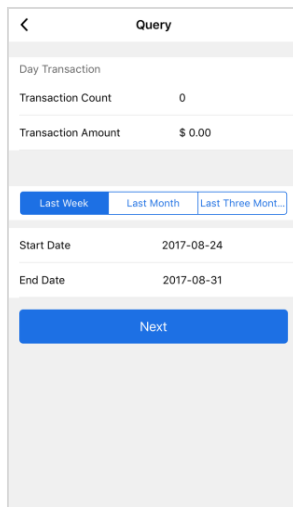
QR Code Merchant Gateway Service Platform to provide Web-based Portal for merchant management and Merchant APP



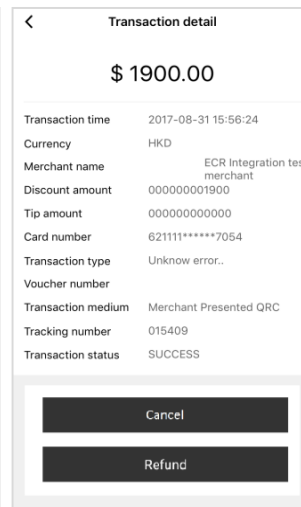
**Static
QRC**



**Dynamic
QRC**



**Transaction
Inquiry**



**Cancellation &
Refund**



**Gateway
Platform**

- ❑ No SYS. development
- ❑ No service fee
- ❑ Shorter time to market
- ❑ No certification test
- ❑ Secure solution
- ❑ Merchant APP

Flexible Implementation



Issuers



Acquirers

APP Dev.

Integrated

Modular

UP APP

Host System

**Account
Verf.**

QRC TRX.



Format

ISO 8583

JSON

Connection

Indirect

Direct

03

How To Cooperate?

How to Work for QR Code Acquirer



QR Code Acquirer

Apply UPI QR Code acquiring license



TPSP

Cooperate with UPI existing acquirer for system or terminal work



Payment Facilitator

Endorsed by UPI existing acquirer

How to Work for QR Code Acquirer



**Membership
Application**

**System Development
& Modification**

**Testing Environment
Verification**

**System &
Business Launch**

Documents Obtain

- ❑ QR Code Encoding Spec.
- ❑ Technical Spec. of Online Message
- ❑ Implementation Guide
- ❑ Test Case

Communication & Connection

- ❑ Leased Line: ISO 8583
- ❑ URL Access: JSON message
- ❑ Direct-Connection

**Production Environment
Configuration**

How to Work for QR Code Issuer



UnionPay Issuer

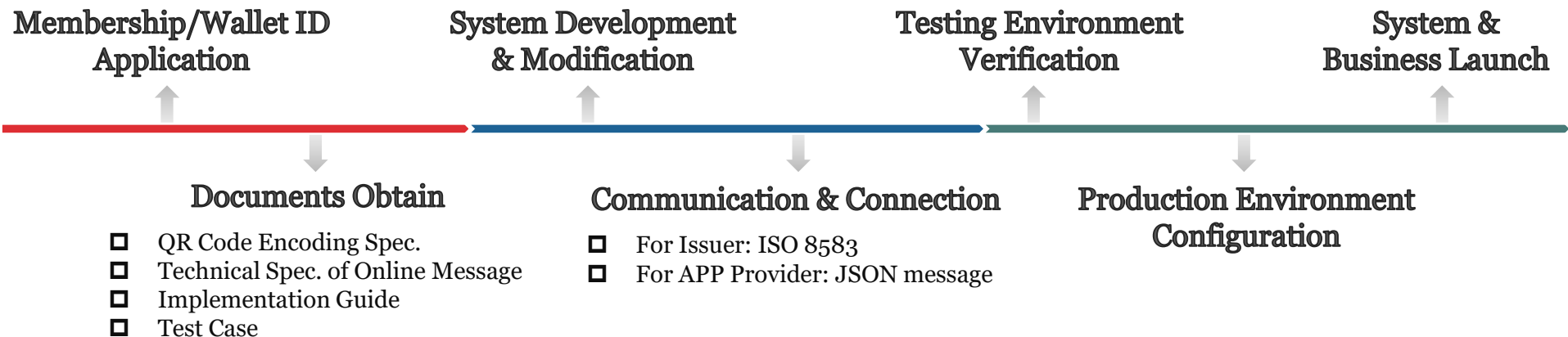
- ☐ Existing issuer apply for Wallet ID
- ☐ New issuer apply for Issuing License and Wallet ID



Third-party APP Provider

- ☐ Endorsement from existing UnionPay Issuer
- ☐ Application of Wallet ID

How to Work for QR Code Issuer



04

UPI QR Code Status Quo

UnionPay APP



A unified mobile payment traffic portal consolidate resources and channels of UnionPay and major commercial banks of mainland China

❑ **Wallet Product of Banking Industry**

- ◆ Registered accounts – **180 M+**
- ◆ Monthly active users – **40 M+ (by Dec. 2018)**

❑ **Current Support to UnionPay QR Code**

- ◆ **11M** Merchants
- ◆ **200+** Acquirers
- ◆ **170+** Apps (17 main banks and 110+ regional banks)

❑ **Convenient Financial Services**

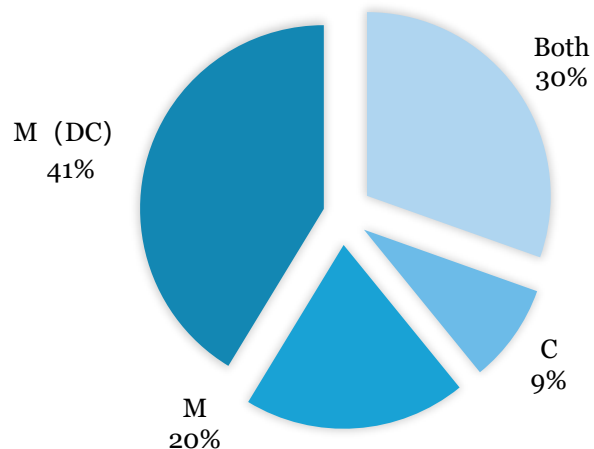
- ◆ Application of **Bank Account** and **mobile NFC Pay**
- ◆ **Multifunction** - Bank Account Inquiry, Credit Card Payment, Tax Refund
- ◆ **Multi-scenario** - Bill Payment, Toll Payment, On-campus Payment etc.



UnionPay QR Code in Overseas

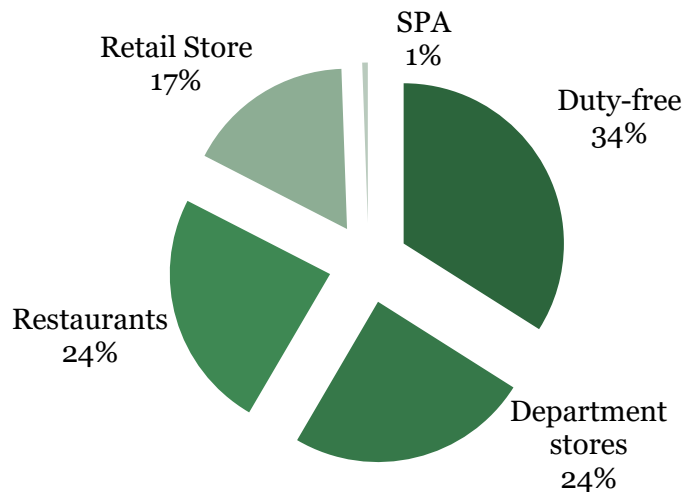


Implement Mode Distribution



- ❑ From Oct.2017, **91** Acquirers from **31** countries & regions accept UPI QR Code
- ❑ **19** mobile wallet from HK, Singapore, Thailand, Vietnam, etc.

Merchant Distribution



- ❑ More than **300,000** QR Code Merchant among South Korea, Japan, HK/Macau, Thailand, Singapore, Malaysia, Africa etc.

UnionPay QR Code in Overseas



	Deployed	Potential
Iss.	19	40+
Acq.	91	30+

UnionPay QR Code in HK



美食

Restaurants



購物

Shopping



旅行及服務

Travel
Service



藥房及蔘茸

Pharmacy
& Herbs



美食

Restaurants: Ajisen Noodles / Haidilao Hotpot / Thai Cuisine / Cantonese Cuisine / Delicacy Plaza etc.

味千拉麵 | 嘉年華酒樓 | Crazy Car Café | 海底撈火鍋 | 泰屋 | 太興 |
紅磡港鐵站美食廣場 | 旺角彌敦道700號美食廣場



購物

Shopping: Electrical Appliance / Bookstore / Medical & Cosmetics / Department Store etc.

百老匯電器 | 中華書局 | Colourmix | 商務印書館 | 三聯書店 |
鎮金店 | Maple | 實惠 | 莎莎化妝品 | 先施百貨 | Veeko & Wanko



旅行及服務

Travels and Services: Chu Kong Shipping / Hong Thai Travel Service

珠江客運 | 康泰旅行社



藥房及蔘茸

Pharmacy & Herbs: Lung Shing Dispensary / Kaitai / Wai Yuen Tong

龍城大藥行 | 啟泰 | 位元堂



maple

Pricerite 實惠



UnionPay QR Code in SEA



UnionPay QR Code in South Korea



SHINSEGAE
DUTY FREE
韩际新世界免税店



MATSUYA GINZA



UnionPay QR Code Wallet



19 QRC-based Wallets

- ✓ Projects across HK and SEA
- ✓ 40+ projects in the progress across Asia-Pacific, Middle Asia, Middle East, and Africa

Thanks

Cooperation

Efficiency

Creativity